

Research Briefing | Eurozone

ECB in wait-and-see mode but we expect hikes by mid-year

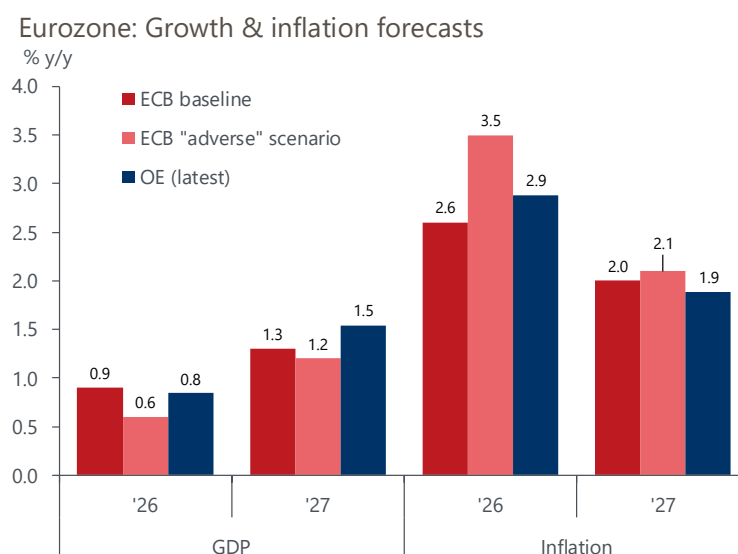
- We now expect the ECB to tighten monetary policy in response to the energy supply shock, in order to prevent significant second round effects from emerging. We assume two 25bps rate hikes in June and July this year to be reversed in H1 2027 as inflation returns towards target, although this is conditional on highly uncertain energy price dynamics.
- The council adopted a wait-and-see approach today despite a material upgrade of its near-term inflation forecasts. It signalled no rush to hike as there's still a chance of looking through the near-term inflation surge as the shock may fade quickly. However, the bar to a policy response is low as the council sees inflation risks as tilted to the upside, despite the ECB's new baseline forecast already incorporating some policy tightening.
- Our new baseline inflation forecast lies somewhat closer to the ECB's adverse scenario, and we are concerned about supply disruptions spreading beyond energy. Moreover, our recent work shows that energy shocks now have a faster and larger impact on inflation expectations than before the pandemic. Notable, given the more explicit role expectations now have for policy.

We have revised our monetary policy views. We now expect the ECB to hike its policy rates by 25bps in June and July, lifting the deposit rate to 2.5%. There are two reasons for this.

First, the rapid developments on the ground mean that we are currently in the process of updating our own baseline forecasts from early March. We now see energy prices staying higher-for-longer as the war in the Middle East drags on longer, extending the supply disruptions to energy flows and thus keeping energy prices elevated. This will bring our growth and inflation outlook closer to our previously published [adverse scenario](#), in which we think the ECB would hike rates to prevent second round effects that could sustainably lift underlying inflation pressures. We had flagged this option in our [ECB preview](#).

Second, while the ECB stayed put today and signalled that it had shifted into a wait-and-see mode with no imminent rate hikes, it was sufficiently clear that the bar to some policy tightening was low. And as timely as the ECB's forecast assumptions on energy price developments have been, the further rise in oil and gas prices as well as the growing hits to energy production facilities in the Middle East in recent days mean a shift to a more adverse scenario is likely at upcoming policy meetings.

Chart 1: We see inflation this year closer to the ECB's severe scenario



Sources: Oxford Economics, ECB

Council is 'closely monitoring' but in to rush to act

We think the ECB council today signalled that it is in no rush to act in response to the unfolding inflationary energy supply shock. The council said it is "well positioned to navigate this uncertainty". As we had flagged in our preview, the economy's starting point is very different to 2022, a point that ECB president Christine Lagarde also underscored. Inflation is around target now, and there are no signs of a labour market running hot. This means that odds of the energy shock's "material impact on near-term inflation" having large repercussions on medium-term inflation or underlying price pressures is reduced. Moreover, the council argued that the outlook was now "significantly more uncertain".

This backdrop means the ECB can afford to signal a wait-and-see approach for now, which makes a policy move in April unlikely. The option value of waiting to see if the conflict and energy supply disruptions ease soon or worsen significantly is high, especially as markets are already doing the ECB's job having already priced in some policy tightening.

Nonetheless, the council said it is "closely monitoring the situation", which is typical code for a low bar to a policy move. Indeed, the ECB's updated baseline forecasts already incorporate some policy tightening, which Lagarde pointed out rather vaguely towards the end of her press conference.

The policy response isn't predetermined even in a more adverse scenario as per today's communication. Much will depend on the scale of the indirect and second-round effects of a stronger and more persistent energy shock. Indeed, Lagarde made a long list of indicators that the ECB council will monitor. Energy prices and supply are the obvious ones, but she also pointed towards inflation expectations and in particular to firms' price setting expectations. We recently showed how [price expectations](#) are now more responsive to energy price shocks than before the pandemic. As Lagarde herself pointed out, people's memories from the last inflation shock are still fresh, even if the macroeconomic backdrop is different, so we think it is unlikely that this will give the council and out of a response.

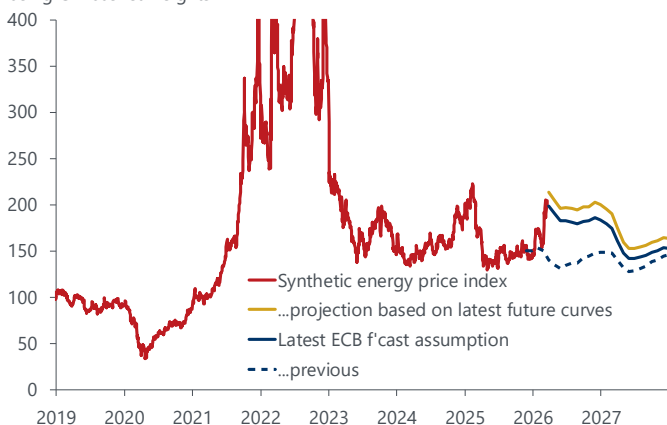
Timely forecast update means ECB isn't (much) behind the curve

In an unusual move, the ECB did two baseline forecasts in the run up to today's meeting. In response to the surge in energy prices, the second update included a much more adverse energy price profile that is closer to the latest market dynamics ([Chart 2](#)). This means the council had a sensible basis to discuss the policy outlook. Nonetheless, even the timely update doesn't prevent the forecast from already looking a bit stale given further significant energy price increases as well as the growing risks of more prolonged supply disruptions even after the immediate fighting ends.

Chart 2: Markets are pricing a more adverse scenario than what the ECB assumed

Eurozone: Synthetic energy price index

2019=100, weighted average of Brent (in EUR), TTF and German power futures using CPI basket weights



Source: Oxford Economics/Haver Analytics

In broad terms, we agree with the ECB's new baseline ([Chart 1](#)), which sees a significant cut to the growth forecast mainly on the back of higher inflation eating into consumers' purchasing power. The central bank

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now expects growth of 0.9% this year down from 1.2% in December. More notable, inflation is now seen rising to 2.6% this year instead of falling below the 2% target. The high uncertainty means that the council isn't putting much weight on the exact forecast and instead has published several scenarios with a focus on more severe energy price shocks.

Another notable aspect of the ECB forecasts and scenarios is that the impact of the energy shock remains largely contained materially lifting inflation but posing a more limited and temporary drag on growth. This is even true in the ECB's severe scenario, where growth slows to 0.4% in 2026 and 0.9% in 2027. This means that the ECB's primary mandate to target inflation implies a prerogative to act as the hit to growth isn't large enough to derail the labour market and cause a material drag on wages and underlying price pressures.

Our more adverse baseline means we think ECB council will be forced to act

Overall, we think the ECB will be forced into hiking rates. Our baseline forecast is somewhat more pessimistic than the ECB's and we expect that some supply disruptions beyond the energy markets are increasingly likely. Given that the economy has been reasonably resilient and that labour markets remain relatively tight, we think odds of higher energy prices feeding through to wider price pressures are too high for the council to ignore. Moreover, governments across Europe are scrambling to formulate policy responses. While the scale of the fiscal support to date is small, further measures are likely, which would prevent or cap the necessary energy demand destruction. In turn, that would shift price pressures elsewhere.

We currently think that a first policy rate hike in June is the most likely option. This would afford the council some time to monitor the situation and gauge the risks of the initial energy price shock rippling through to consumers' and firms' price expectations. Discussion about a hike could already start at the next meeting in April, but the outlook would likely have to shift significantly to trigger a move then.

Our baseline forecast is only somewhat more adverse than the ECB's. Moreover, we also see only limited feedthrough to underlying price pressures. Therefore, we think that ECB will get away with a 'token' response of two rate hikes with the second one in July. That should only have limited repercussions for financing conditions and growth. Instead, the main value of the hikes is to signal to consumers and firms that the central bank will not allow a repeat of 2022. In addition, it puts the [ECB](#) in a better starting position, in case the inflationary repercussions turn out more severe than we expect.